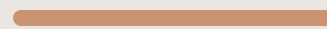


MSc Digital Marketing & Artificial Intelligence · 2026

AI Disclosure

and Consumer Purchase Intention in Fashion Advertising



Chen PAN · Yang YU | Supervisor: María Olmedilla Fernández

Part 01

Introduction



Background

Generative AI now makes the ad

Midjourney, DALL·E and Stable Diffusion produce photoreal fashion campaigns at a fraction of the cost.

Regulators are moving to mandatory labels

The EU, UK and US are heading toward compulsory disclosure of AI-generated content.

But consumer response is barely understood

Does revealing an ad is AI-made change what people buy? Evidence is thin — and Western-centric.

Objective & Research Question

The gap

Consumer reactions to AI disclosure are under-studied outside Western markets.

The objective

Test whether disclosure lowers purchase intention — and uncover the mechanism and boundaries.

Research question

Does disclosing that a fashion ad is AI-generated reduce purchase intention — and if so, why and for whom?

Key Insights from the Literature

Contradictory evidence

Strong penalties for chatbots and trust, but null effects for Adidas ads — the problem may be the disclosure, not the AI itself.

Authenticity is the key mechanism

AI signals low effort and low sincerity; the penalty hits luxury brands, not mainstream ones (To et al., 2025).

Clear research gaps

Little evidence on mid-market fashion, mechanisms studied in isolation, and samples drawn mostly from the US and Western Europe.

Two Theoretical Lenses

Persuasion Knowledge Model

Friestad & Wright, 1994

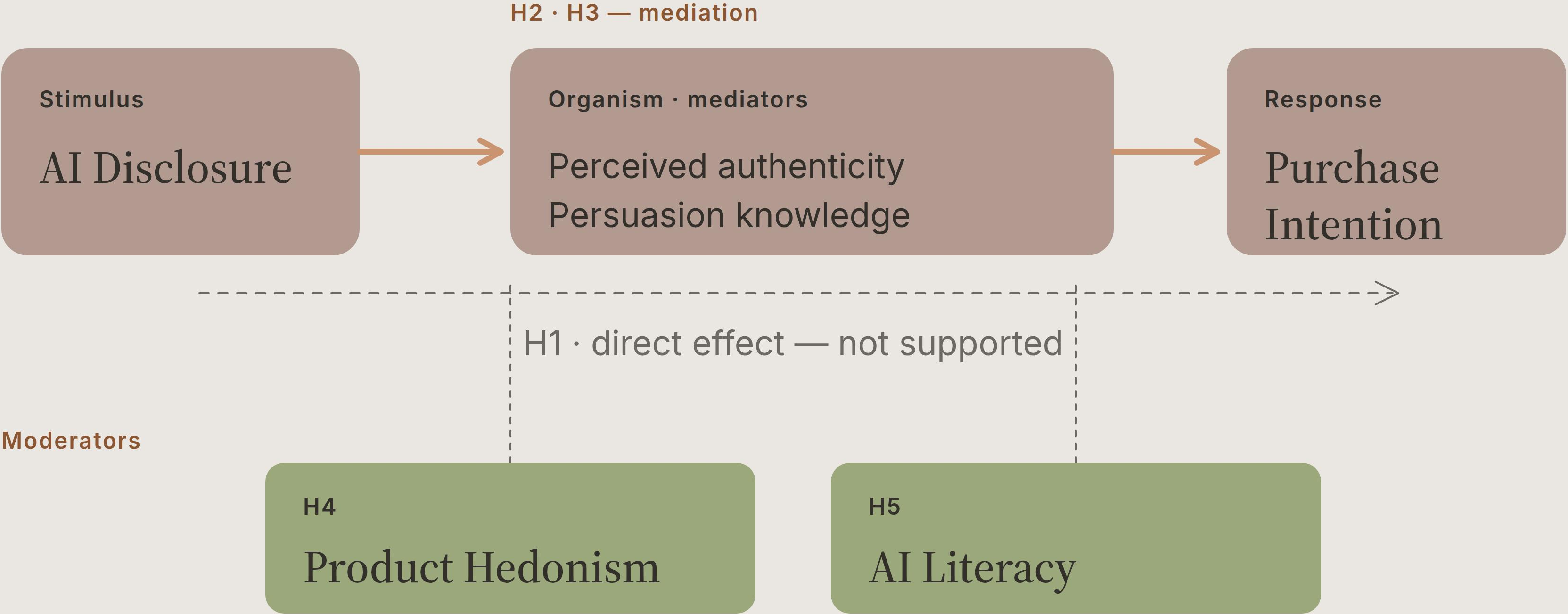
Consumers draw on persuasion knowledge to cope with marketer tactics. A disclosure label can act as a cue that activates this coping — inviting scepticism.

Stimulus – Organism – Response

Mehrabian & Russell, 1974

A stimulus (the disclosure) shifts internal states — perceived authenticity, persuasion knowledge — which drive the response: purchase intention.

Conceptual Model



Five Hypotheses

H1 · Disclosure lowers purchase intention

H2 · Effect is mediated by perceived authenticity

H3 · Effect is mediated by persuasion knowledge

H4 · Effect is stronger for hedonic products

H5 · AI literacy weakens the effect

Part 02

Method



One Ad, Two Versions

Between-subjects · online (Wenjuanxing) · fictitious sneaker brand AXEN · €69

Control · $n = 71$

Sees the AXEN sneaker advertisement with no disclosure label.

Disclosure · $n = 66$

Sees the same advertisement carrying an "AI-generated" label.

Sample & Reliability

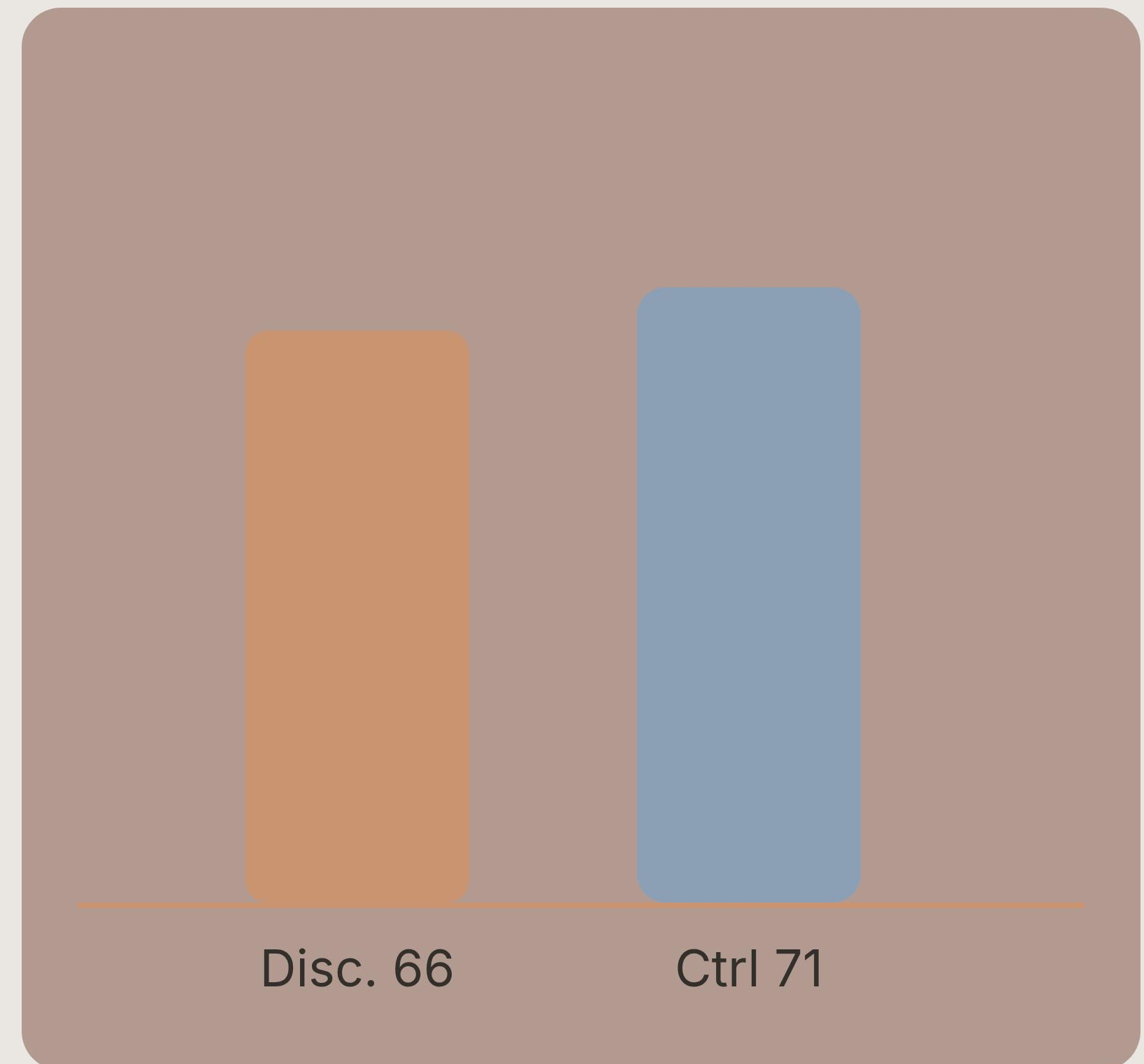
137

participants

66 disclosure, 71 control

Mostly Chinese, mean age 38.3

All scales reliable — Cronbach's $\alpha = 0.89$ – 0.94



Part 03

Results

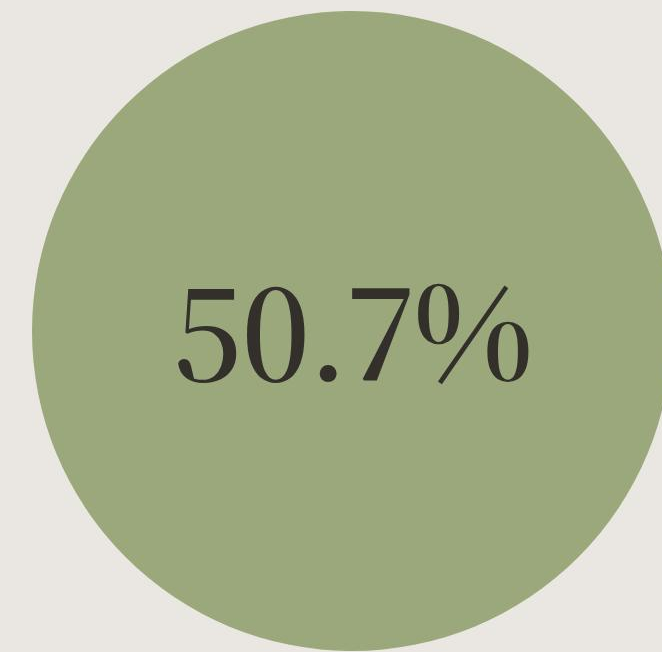


Manipulation Check

0.010

the label worked ($p = 0.010$)

It shifted AI-attribution beliefs as intended —
but the contrast was weak.



of controls already
assumed AI

H1 · Main Effect

0.162

p-value of the main effect

$t(135) = 1.41$, n.s. Disclosure did not lower purchase intention — it was slightly higher.



The Other Four: All Null

H2 · Mediation via authenticity — not supported (CI incl. 0)

H3 · Mediation via persuasion knowledge — not supported

H4 · Moderation by product hedonism — n.s. ($p = 0.601$)

H5 · Moderation by AI literacy — n.s. ($p = 0.514$)

The One Strong Finding

0.77

$\beta \cdot \text{authenticity} \rightarrow \text{purchase intention}$

Perceived authenticity strongly predicts purchase intention ($b = 0.81, p < 0.001$).

84.4%

of the variance in purchase
intention explained

Part 04

Discussion



Why No Effect?

- 1 · Chinese sample — higher baseline acceptance of AI
- 2 · Weak contrast — half of controls already assumed AI
- 3 · Mid-market sneaker — no luxury heritage to threaten
- 4 · Consistent with recent nulls (Koning & Voorveld, 2025)

Powered only for medium-to-large effects — the null bounds an effect rather than excluding it.

Conclusions, Limitations & Recommendations

Limitations: convenience sample, single category, cross-sectional — Future research: European & luxury samples, longitudinal

Recommendations · Practice

In high-AI-literacy markets, disclosure may carry little sales risk. Invest in authenticity, not in hiding the label.

Implications · Theory

AI-disclosure effects are context-dependent. Western-sample findings should not be over-generalised.

How, not whether

The question is not whether to disclose AI — but how to preserve authenticity.

Thank you · Chen PAN & Yang YU